

**CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION****CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET B — ADVANCED HOTS & ANALYTICAL THINKING****CHAPTER 08: BUILDING BLOCKS IN ECONOMICS: THE PROBLEM OF CHOICE**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-B-08

Student's Name: \_\_\_\_\_

Roll No.: \_\_\_\_\_

Class &amp; Section: Class IX - \_\_\_\_\_

Date of Exam: \_\_\_\_\_

Invigilator's Sign: \_\_\_\_\_

**General Instructions (SET B - Advanced HOTS & Analytical Thinking):**

1. The question paper comprises **25 Higher Order Thinking Skills (HOTS) Questions** of **1 mark** each.
2. Designed to test **deep causal reasoning, critical source evaluation, constitutional mechanics, and economic analysis**.
3. All questions are compulsory. There is no negative marking for incorrect answers.
4. Darken the corresponding bubble on the **OMR Sheet** completely using a blue/black ballpoint pen.

 **ADVANCED HOTS INSTRUCTIONS:** Carefully analyze the socio-historical contexts, geomorphic cause-and-effect relationships, and constitutional principles before selecting your answer.

**Q.1 What does a Production Possibility Frontier (PPF) curve illustrate about an economy's fundamental choice between producing capital goods versus consumer goods?**

- |                                                                                                                                                                           |                                                                                              |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------|
| (A) Because productive resources are finite, increasing the production of capital goods requires sacrificing a specific quantity of consumer goods (the Opportunity Cost) | (B) An economy can produce infinite quantities of all goods simultaneously without any limit |
| (C) Machines can be manufactured out of thin air without using raw materials or labor                                                                                     | (D) The economy must always produce zero goods and shut down all factories                   |

**Q.2 Why is the concept of Opportunity Cost central to rational financial decision-making for a government allocating a national budget?**

- |                                                                                                                                 |                                                                     |
|---------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------|
| (A) Every rupee allocated to a bullet train is a rupee that cannot be spent on building primary health clinics or rural schools | (B) Governments have access to magic money trees that never run dry |
| (C) Budget allocations carry zero consequences for citizens                                                                     | (D) Spending money on weapons automatically builds free schools     |

**Q.3 How does 'Fixed Capital' differ analytically from 'Working Capital' in the production of agricultural wheat?**

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|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|
| (A) Fixed capital (tractors, tubewells, threshers) endures over multiple production cycles across years; working capital (seeds, chemical fertilizers, diesel, cash) is consumed in a single season | (B) Fixed capital is liquid cash; working capital is heavy concrete buildings |
| (C) Working capital lasts for 100 years; fixed capital lasts for one minute                                                                                                                         | (D) Both types are completely identical and refer to farmland soil            |

**Q.4 Why do developmental economists like Theodore Schultz and Gary Becker regard investments in 'Human Capital' (education and health) as superior to physical capital investments?**

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|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| <b>(A)</b> Educated and healthy human labor innovates, operates physical machinery efficiently, and generates long-term compounding economic productivity and higher social returns | <b>(B)</b> Human beings never require food, rest, or medical care      |
| <b>(C)</b> Physical machines can run forever without any human design or operation                                                                                                  | <b>(D)</b> Human capital investment requires zero expenditure of money |
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**Q.5 In a competitive market economy, how does the 'Price Mechanism' resolve the fundamental economic question of 'What to produce?'**

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|--------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| <b>(A)</b> Producers allocate scarce resources to goods that generate high consumer demand and profit margins, while unprofitable goods face production cuts | <b>(B)</b> A government central planning bureau assigns mandatory production quotas to every citizen |
| <b>(C)</b> Decisions are settled by drawing lottery tickets in village squares                                                                               | <b>(D)</b> Firms produce goods randomly without considering consumer preferences                     |
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**Q.6 What is the critical trade-off faced by an economy in answering the central question 'How to produce?' between labour-intensive versus capital-intensive techniques?**

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|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| <b>(A)</b> Labour-intensive methods generate higher employment but may yield lower labor productivity; capital-intensive methods maximize efficiency but may displace human jobs | <b>(B)</b> Labour-intensive methods use only computers, while capital-intensive methods use only human hands |
| <b>(C)</b> Capital-intensive methods are completely free of cost                                                                                                                 | <b>(D)</b> There is no difference in costs or outcomes between the two methods                               |
- 

**Q.7 Why did the historical transition from traditional agriculture to modern industrialization across East Asia (Japan, South Korea) cause a structural shift in national employment?**

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|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------|
| <b>(A)</b> Mechanization reduced agricultural labor requirements while expanding urban factories and services absorbed workforce into higher-productivity sectors | <b>(B)</b> Agriculture was legally banned by imperial decree  |
| <b>(C)</b> All industrial factories operated without human workers                                                                                                | <b>(D)</b> Citizens ceased consuming food and stopped farming |
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**Q.8 What constitutes 'Disguised Unemployment' in the agricultural sector of developing economies like India?**

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|---------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| <b>(A)</b> A situation where more workers are engaged in farm work than required, such that the marginal productivity of additional workers is virtually zero | <b>(B)</b> Workers who disguise themselves in costumes while working in factories   |
| <b>(C)</b> Unemployed workers who receive full executive corporate salaries                                                                                   | <b>(D)</b> People who refuse to work despite having multiple high-paying job offers |
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**Q.9 How does a 'Mixed Economy' like India seek to balance the efficiency of free enterprise with social equity?**

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|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------|
| <b>(A)</b> It permits private entrepreneurs to operate competitive markets for efficiency, while the state provides public goods, infrastructure, and regulations to protect vulnerable populations | <b>(B)</b> It bans all private property and requires everyone to live in state barracks |
| <b>(C)</b> It eliminates all government taxes, police, and environmental laws                                                                                                                       | <b>(D)</b> It forces all companies to sell their goods at zero price                    |
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**Q.10 Why is 'depreciation' of physical capital an inevitable economic cost that businesses must account for in production?**

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|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|
| (A) Machinery, factory buildings, and vehicles suffer physical wear, tear, and technological obsolescence over time, requiring periodic capital replacement reserves | (B) Physical machines grow in size every year until they collapse     |
| (C) Depreciation is a government tax levied on workers' personal savings                                                                                             | (D) Modern industrial equipment lasts forever without needing repairs |

**Q.11 If an economy operates at a point INSIDE its Production Possibility Frontier (PPF), what does this indicate about its resource utilization?**

- |                                                                        |                                                                      |
|------------------------------------------------------------------------|----------------------------------------------------------------------|
| (A) Resources are underemployed, idle, or being utilized inefficiently | (B) The economy is experiencing rapid, unprecedented economic growth |
| (C) The economy has surpassed all physical production limits           | (D) Resources are infinitely abundant and free of scarcity           |

**Q.12 What analytical distinction differentiates 'Economic Goods' from 'Free Goods'?**

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|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| (A) Economic goods are scarce, require productive resources to make, and command a market price; free goods (like sunlight or fresh atmospheric air) are abundant without opportunity cost | (B) Economic goods are produced only in banks; free goods are produced in shops |
| (C) Free goods can only be purchased with foreign gold currency                                                                                                                            | (D) There is no difference; all goods in the universe command a market price    |

**Q.13 How does entrepreneurship act as the catalytic fourth factor of production?**

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|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| (A) The entrepreneur conceptualizes business ideas, bears financial risks, organizes land, labour, and capital, and introduces innovative technologies and processes | (B) The entrepreneur performs all physical factory labor without machinery          |
| (C) The entrepreneur prints legal currency notes in home workshops                                                                                                   | (D) The entrepreneur takes daily orders from central government planning committees |

**Q.14 Why does investment in female education generate what economists call a high 'social rate of return'?**

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|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|
| (A) It increases female labor force participation, lowers infant mortality rates, improves child nutrition, and reduces fertility rates, breaking intergenerational poverty cycles | (B) It causes all factories to shut down across the country     |
| (C) It doubles the price of consumer electronics                                                                                                                                   | (D) It has zero measurable impact on household health or income |

**Q.15 What is the primary operational objective of a Public Distribution System (PDS) in an economy with substantial rural poverty?**

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|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|
| (A) To procure staple foodgrains from farmers at Minimum Support Prices (MSP) and distribute them to low-income households at subsidized issue prices to ensure food security | (B) To export all domestic foodgrains to overseas luxury markets for corporate profit |
| (C) To force citizens to purchase imported foreign packaged snacks                                                                                                            | (D) To destroy unsold crops to keep market prices high                                |

**Q.16 How does the 'Tragedy of the Commons' illustrate the economic failure of unmanaged common-pool natural resources (like open pastures or groundwater aquifers)?**

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|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| (A) When a resource has no defined property rights or collective management rules, individual self-interest leads users to over-extract and deplete the resource for everyone | (B) All common resources naturally multiply and expand indefinitely without limit |
| (C) Farmers voluntarily stop using water to protect the environment                                                                                                           | (D) Groundwater never depletes regardless of extraction rates                     |
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**Q.17 In national income accounting, what does the 'Tertiary Sector' encompass that distinguishes it from the Primary and Secondary sectors?**

- |                                                                                                                                                                                      |                                                                   |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| (A) It produces intangible services (banking, transport, IT, healthcare, tourism, education) that facilitate economic exchange and human welfare rather than tangible physical goods | (B) It only produces raw agricultural crops like cotton and wheat |
| (C) It manufactures heavy steel girders and cement blocks                                                                                                                            | (D) It is restricted exclusively to military defense forces       |
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**Q.18 Why do economists distinguish between 'nominal wages' and 'real wages' of an industrial worker?**

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|-------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|
| (A) Nominal wages measure cash earned in rupees; real wages measure the actual purchasing power of those earnings adjusted for inflation in consumer prices | (B) Nominal wages are paid in gold coins; real wages are paid in paper rupees   |
| (C) Real wages apply only to government ministers; nominal wages apply to workers                                                                           | (D) There is no difference; money earned always buys the same quantity of goods |
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**Q.19 What is the economic hazard of a government printing unlimited quantities of paper currency to solve its poverty problem?**

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|----------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------|
| (A) Hyperinflation: the excessive supply of money chasing a finite supply of goods causes the currency to collapse in purchasing power, making money worthless | (B) It immediately makes every single citizen rich and happy forever |
| (C) It freezes the physical weather of the country into permafrost                                                                                             | (D) It causes all factories to produce ten times more physical goods |
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**Q.20 How does a microfinance self-help group (SHG) overcome the barrier of 'lack of collateral' for rural women entrepreneurs?**

- |                                                                                                                                                       |                                                                                    |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| (A) By utilizing social peer monitoring and joint liability, where group members guarantee each other's loans and enforce mutual repayment discipline | (B) By requiring poor women to pledge commercial multi-story buildings as security |
| (C) By giving away free cash grants without requiring repayment                                                                                       | (D) By requiring members to surrender their voter ID cards to the bank             |
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**Q.21 What does an outward shift of an entire Production Possibility Frontier (PPF) curve signify for a national economy?**

- |                                                                                                                                                             |                                                            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------|
| (A) Economic growth: an expansion in the economy's productive capacity resulting from technological progress, resource discoveries, or capital accumulation | (B) A catastrophic economic collapse and factory shutdowns |
| (C) A mandatory reduction in national population                                                                                                            | (D) The total elimination of all foreign trade             |
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**Q.22 Why is seasonal unemployment particularly prevalent among rural agricultural laborers in India?**

- (A) Agricultural crop cultivation follows specific biological cycles (sowing and harvesting periods), leaving landless laborers without work during dry inter-crop months
- (B) Farm workers choose to take voluntary luxury holidays for six months every year
- (C) Farming requires labor only once every ten years
- (D) Farm machinery runs by itself without any human operators

**Q.23 What is the primary rationale for government investing in rural infrastructure like all-weather roads and rural electrification?**

- (A) It lowers transportation costs, reduces post-harvest agricultural crop spoilage, links farmers to urban markets, and stimulates non-farm rural businesses
- (B) To prevent rural residents from ever traveling to cities
- (C) To force all farmers to sell their land to foreign corporations
- (D) To build racetracks for foreign sports cars in villages

**Q.24 How does 'Brain Drain' (the emigration of highly skilled doctors, scientists, and engineers to wealthier foreign nations) impact a developing economy?**

- (A) The home nation loses the valuable human capital and fiscal taxes of subsidized professionals, depleting critical domestic healthcare and technical innovation sectors
- (B) It doubles the domestic population of skilled professionals
- (C) It forces the home nation to shut down all primary schools
- (D) It has zero economic or social consequence on the home nation

**Q.25 In summary, what is the ultimate moral and analytical purpose of the discipline of Economics?**

- (A) To understand how societies can wisely, efficiently, and equitably allocate limited resources to eliminate human suffering, poverty, and expand human freedom
- (B) To teach wealthy individuals how to hoard gold coins in private vaults
- (C) To prove that only industrial corporations have human rights
- (D) To eliminate all mathematical calculations from public policymaking

**CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET B)**

|                    |                    |                    |                    |                    |
|--------------------|--------------------|--------------------|--------------------|--------------------|
| 01 (A) (B) (C) (D) | 02 (A) (B) (C) (D) | 03 (A) (B) (C) (D) | 04 (A) (B) (C) (D) | 05 (A) (B) (C) (D) |
| 06 (A) (B) (C) (D) | 07 (A) (B) (C) (D) | 08 (A) (B) (C) (D) | 09 (A) (B) (C) (D) | 10 (A) (B) (C) (D) |
| 11 (A) (B) (C) (D) | 12 (A) (B) (C) (D) | 13 (A) (B) (C) (D) | 14 (A) (B) (C) (D) | 15 (A) (B) (C) (D) |
| 16 (A) (B) (C) (D) | 17 (A) (B) (C) (D) | 18 (A) (B) (C) (D) | 19 (A) (B) (C) (D) | 20 (A) (B) (C) (D) |
| 21 (A) (B) (C) (D) | 22 (A) (B) (C) (D) | 23 (A) (B) (C) (D) | 24 (A) (B) (C) (D) | 25 (A) (B) (C) (D) |

Total Questions Attempted: \_\_\_\_ / 25

Marks Obtained: \_\_\_\_ / 25

Evaluator's Signature: \_\_\_\_\_

### OFFICIAL ANSWER KEY & STEP-BY-STEP EXPLANATIONS (SET B)

| Q. No. | Correct | Curricular Reference & Analytical Rationale                                                                                                                                                    |
|--------|---------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Q.1    | (A)     | The PPF depicts boundary trade-offs: full resource utilization means more capital goods (tractors) necessitates foregoing consumer goods (bread), demonstrating opportunity cost.              |
| Q.2    | (A)     | Fiscal budgets face hard constraints; choosing one expenditure necessarily foregoes alternative high-value public goods, defining opportunity cost.                                            |
| Q.3    | (A)     | Fixed capital represents durable physical assets that amortize over years; working capital consists of single-use inputs and operational cash consumed within the crop cycle.                  |
| Q.4    | (A)     | Human capital is the primary driver of total factor productivity: skills, scientific knowledge, and health enable societies to utilize physical capital effectively.                           |
| Q.5    | (A)     | Price signals communicate consumer preferences: rising prices signal unmet demand, prompting profit-maximizing entrepreneurs to allocate resources toward those goods.                         |
| Q.6    | (A)     | Developing nations with surplus labor balance employment creation (labour-intensive) against technical productivity and global competitiveness (capital-intensive).                            |
| Q.7    | (A)     | Kuznets structural transformation: agricultural productivity growth releases surplus labor into higher-value manufacturing and tertiary services, driving economic modernization.              |
| Q.8    | (A)     | Disguised unemployment occurs when 8 family members work on a farm that requires only 5; withdrawing 3 workers leaves total agricultural output unchanged (marginal product = 0).              |
| Q.9    | (A)     | India's mixed economy integrates private enterprise for innovation and growth with state interventions (PDS, public healthcare, labor laws) to safeguard equitable welfare.                    |
| Q.10   | (A)     | Depreciation measures the consumption of fixed capital over its economic lifespan due to wear, tear, and technological obsolescence, essential for calculating net investment.                 |
| Q.11   | (A)     | Points inside the PPF indicate productive inefficiency or macroeconomic recession: factories operating below capacity and widespread involuntary unemployment.                                 |
| Q.12   | (A)     | Economic goods involve scarcity and positive opportunity cost ( $\$MC > 0\$$ ); free goods exist in natural abundance at zero opportunity cost to society.                                     |
| Q.13   | (A)     | Joseph Schumpeter highlighted the entrepreneur as the agent of 'creative destruction' who innovates, bears non-insurable risks, and combines inert factors into productive enterprise.         |
| Q.14   | (A)     | Educating girls yields compounding multi-generational externalities: higher household income, delayed marriage, reduced child stunting, and improved schooling outcomes for offspring.         |
| Q.15   | (A)     | The PDS stabilizes food security by procuring grains at remunerative MSP and distributing them via Fair Price Shops to BPL families below market rates.                                        |
| Q.16   | (A)     | Garrett Hardin's 'Tragedy of the Commons' shows that open-access resources suffer rivalrous over-depletion because private extractors capture 100% of the benefit while socializing the costs. |
| Q.17   | (A)     | Tertiary activities generate non-physical service utilities: financial intermediation, digital networking, freight logistics, and professional healthcare/education.                           |
| Q.18   | (A)     | Real wage equals nominal wage divided by the price index ( $\$W/P\$$ ); if a worker's cash wage rises by 5% while consumer inflation surges 10%, real purchasing power drops by 5%.            |
| Q.19   | (A)     | Printing fiat currency without expanding real goods and services inflates the money supply ( $\$MV = PY\$$ ), precipitating catastrophic hyperinflation (as in Weimar Germany or Zimbabwe).    |

| Q. No. | Correct | Curricular Reference & Analytical Rationale                                                                                                                                           |
|--------|---------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Q.20   | (A)     | SHGs leverage social capital: group lending with joint liability substitutes for traditional physical collateral, enabling low-income women to access formal bank credit.             |
| Q.21   | (A)     | An outward expansion of the PPF frontier reflects sustained economic growth: technological breakthroughs and labor skill enhancements permit higher output of all goods.              |
| Q.22   | (A)     | Rain-fed single-crop farming creates peak labor demand during monsoon sowing/harvesting, leaving agricultural laborers seasonally unemployed during dry months.                       |
| Q.23   | (A)     | Public rural infrastructure functions as a critical public good, reducing transport transaction costs, expanding market access, and stimulating non-farm enterprise.                  |
| Q.24   | (A)     | Brain drain represents human capital flight: public funds educate specialists whose subsequent overseas emigration deprives the home country of essential expertise and tax revenues. |
| Q.25   | (A)     | As Amartya Sen and Alfred Marshall emphasized, economics is the study of mankind in the ordinary business of life, seeking to enhance human flourishing and eliminate deprivation.    |